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Inflation without Reflation

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[RMB Internationalization, via CNH \(8 July 2026\)](#)

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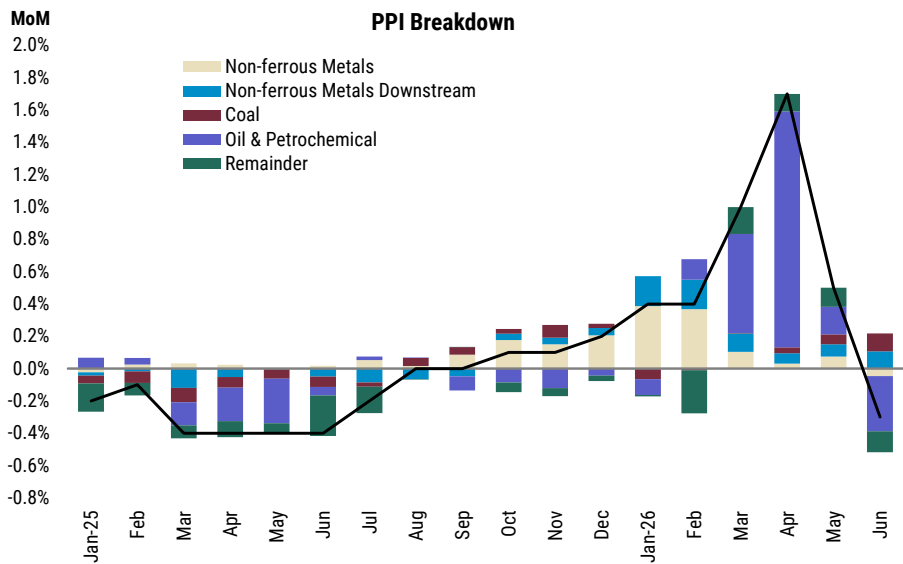
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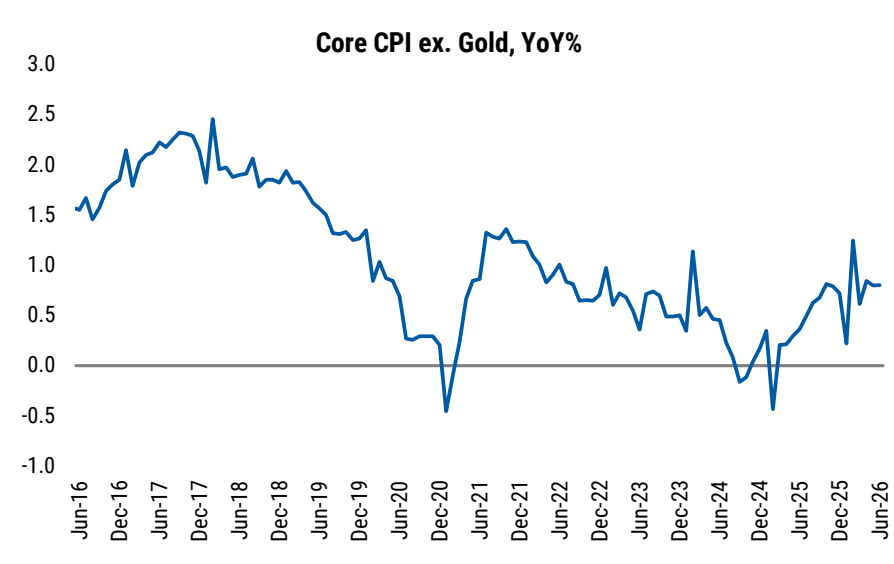
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Inflation Without Reflation...

Energy prices and pass-throughs reversed in June



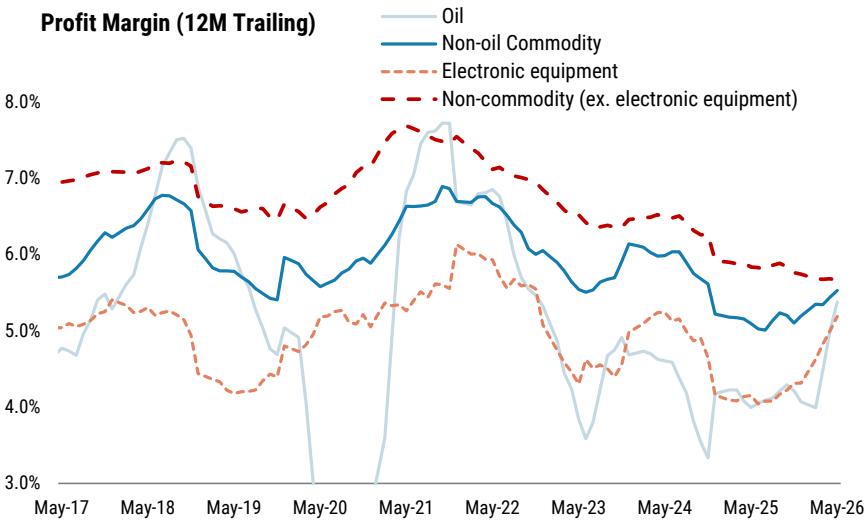
Core CPI excluding gold remains subdued



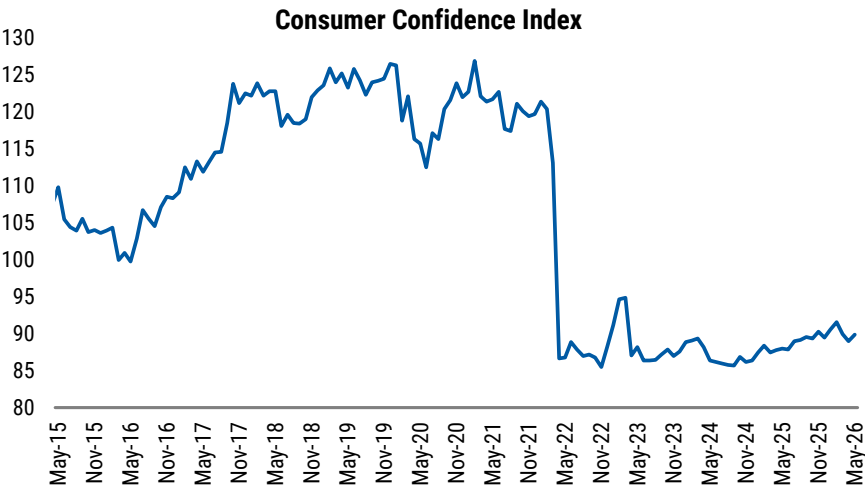
Source: CEIC, Morgan Stanley Research

...With Sluggish Underlying Momentum

Compressed downstream margins



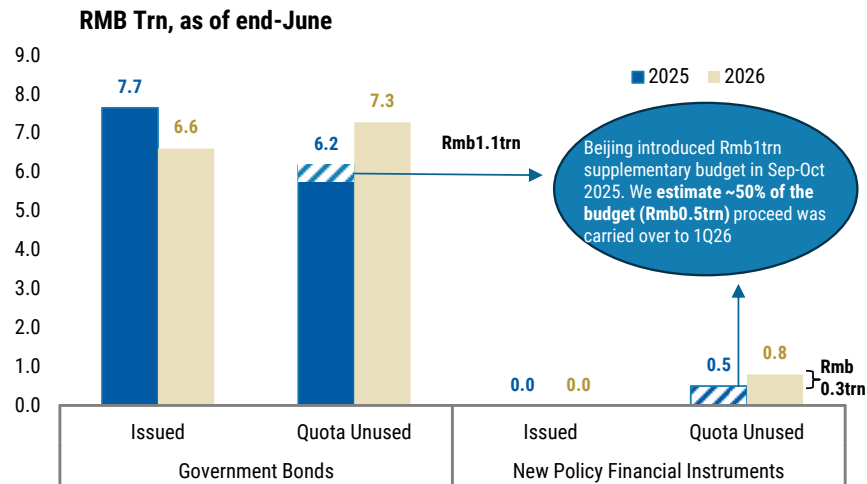
Weak consumer sentiment



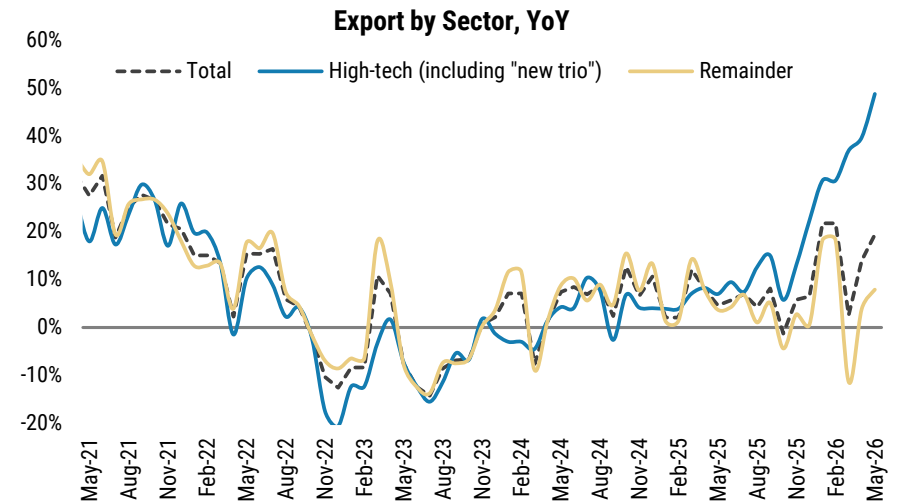
Source: CEIC, Morgan Stanley Research

Fiscal Policy to Be Fine-tuned, Not Pivot...

Beijing to focus on budget rollout, not budget expansion, given room for ~Rmb2trn fiscal impulse in 2H...



...and export resilience reduces urgency for additional countercyclical easing



Source: MoF, CEIC, Morgan Stanley Research

REMARKS BY PRESIDENT XI AT THE NATIONAL SCIENCE AND TECHNOLOGY AWARD CONFERENCE



PBoC to Remain on Hold

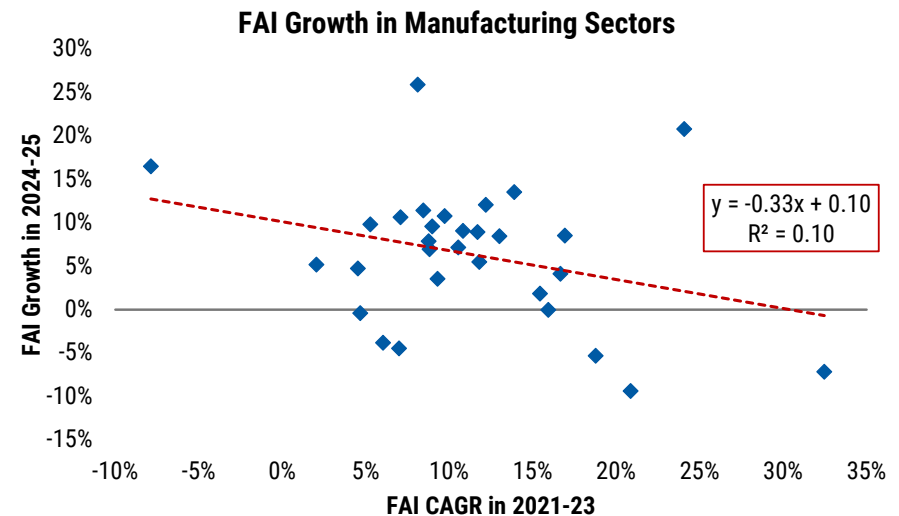
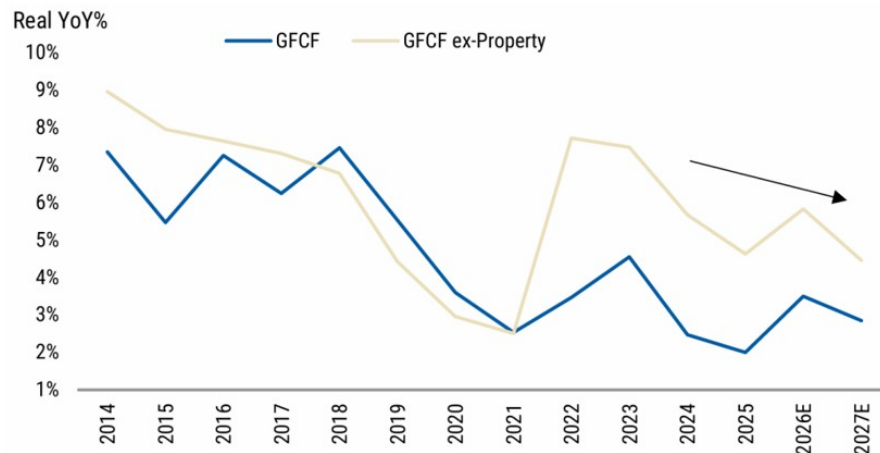
Readout of Monetary Policy Committee Meetings		
	1Q26	2Q26
Economic Assessment	Domestic economy remains stable but challenged by supply-demand imbalance and external shocks	Domestic economy remains stable but challenged by supply-demand imbalance, structural divergence , and external shocks
Policy Stance	Appropriately accommodative	-No change in policy stance -Greater emphasis on policy foresight, flexibility and precision
FX	Maintain RMB broadly stable around the equilibrium level	Unchanged

Source: PBoC, Morgan Stanley Research

Smarter Industrial Policy Alone May Not Narrow Supply/Demand Imbalances

Investment ex-property growth slowed from 2021-23's spike, but only at a modest pace

The "baton" of investment has been passed from sectors with overcapacity to those with less oversupply, for now

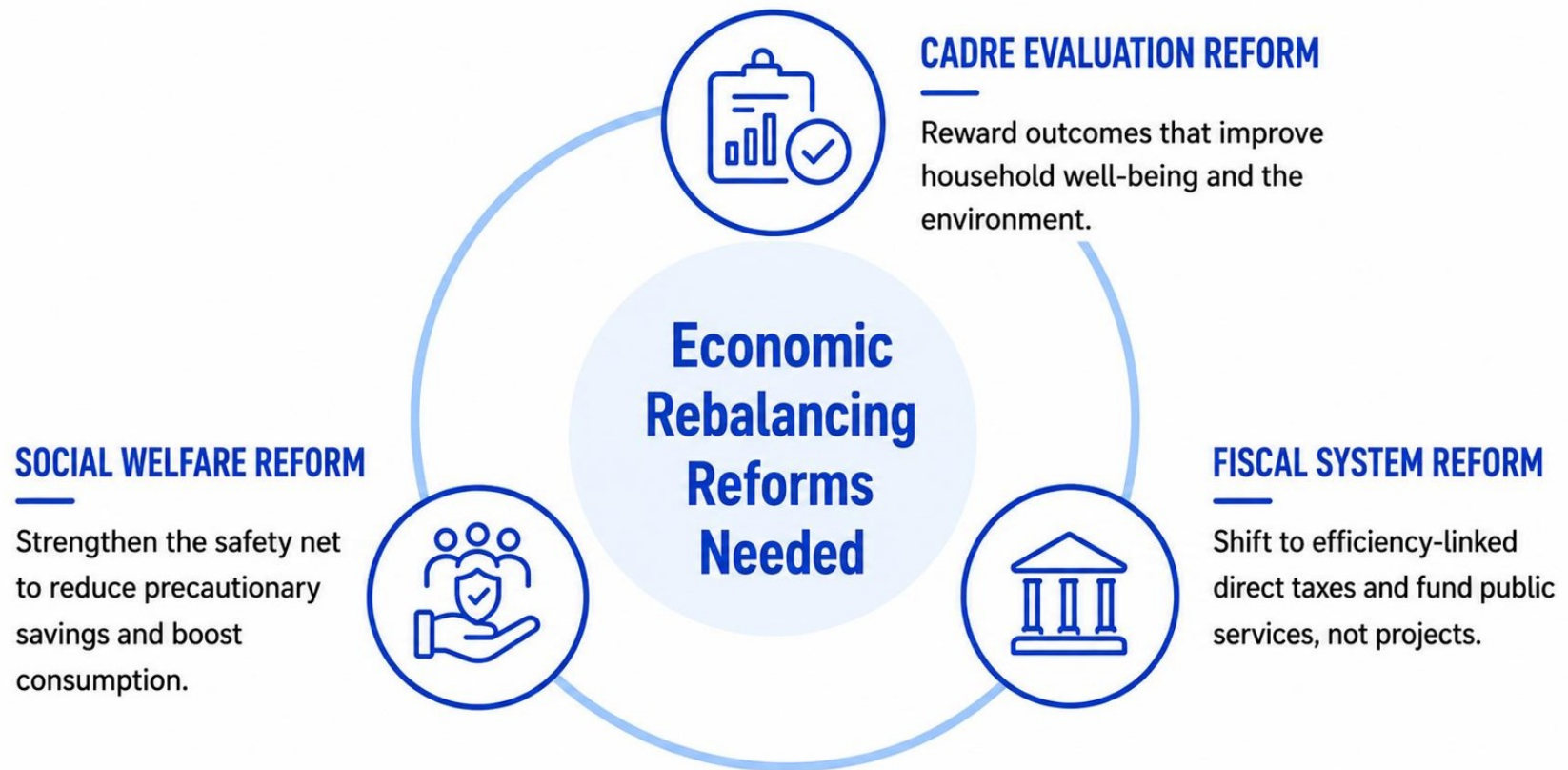


"National unified market" and anti-involution are right in direction, but challenging to implement:

- Cross-regional capacity coordination is difficult; market-based mechanisms needed to guide local specialization are still underdeveloped
- Local incentives misaligned
- Tax system biases production

Source: CEIC, Morgan Stanley Research (E) estimates

Reforms Are Needed to Alleviate the Overhang from Legacy Issues

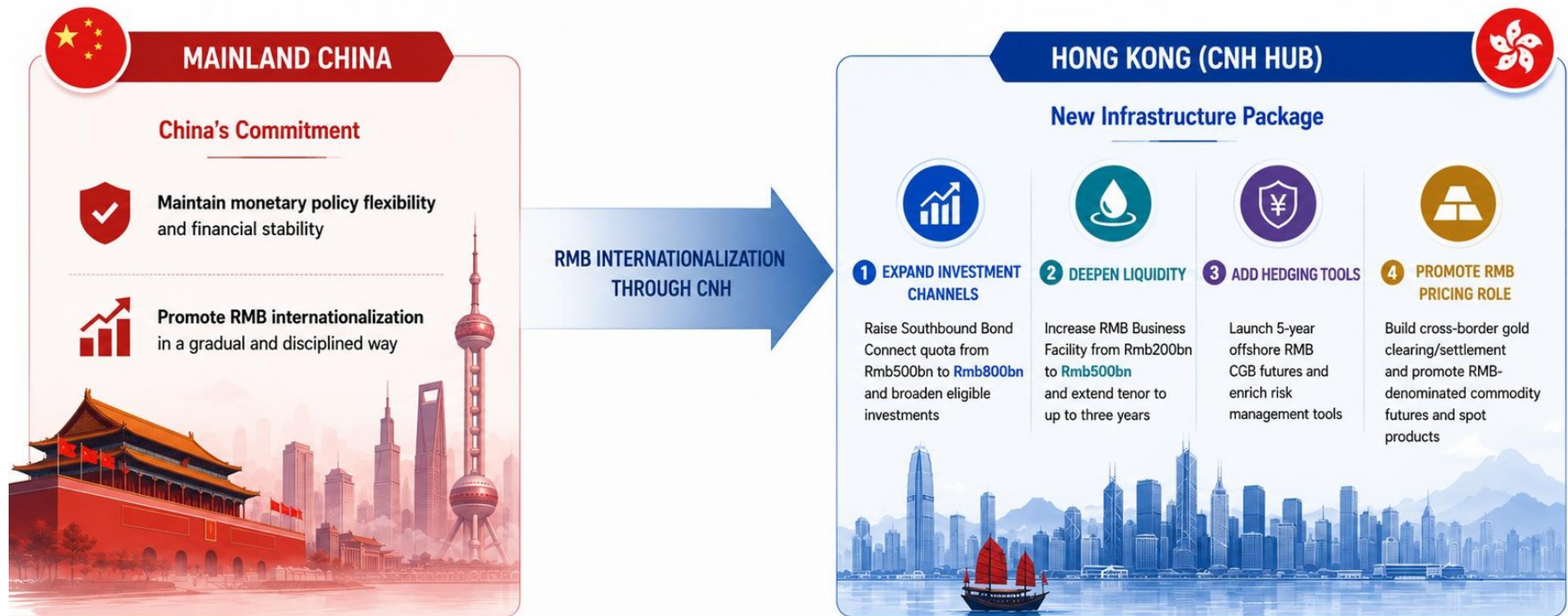


Source: Morgan Stanley Research.

RMB Internationalization

RMB Internationalization, via CNH

Building a Deeper Offshore RMB Ecosystem Through Controlled Channels



Source: Morgan Stanley Research

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